PROPERTY CONDITION ASSESSMENT

Canyon Quarry Commerce Park | Richmond, VA

Property	Canyon Quarry Commerce Park
Address	6244 Highland Road, Richmond, VA 79773
Site Visit Date	January 23, 2020
Client	Beacon Hollow Investors
Immediate Repairs	$451,000

Building Systems

Common area interiors have been refreshed within the last 5 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The building offers 14' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

The facility is located 2 miles from the interstate with access to a regional intermodal terminal. Common area interiors have been refreshed within the last 6 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Canyon Quarry Commerce Park was originally constructed in 2018 and consists of 399,000 SF in a building of 46 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $302,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 28 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $226,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 3 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 36 months.

Building Systems

Canyon Quarry Commerce Park was originally constructed in 2018 and consists of 399,000 SF in a building of 18 stories. The facility is located 2 miles from the interstate with access to a regional intermodal terminal. Common area interiors have been refreshed within the last 5 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Mechanical systems include rooftop package units and central plant equipment of varying age. The building offers 31' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Recommendations

Elevators were last modernized 12 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

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Building Systems

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The facility is located 1 miles from the interstate with access to a regional intermodal terminal. The roof is a 21-year membrane system with an estimated remaining useful life of 8 years. In-place rents average $6 per square foot triple net with 3% annual escalations.

The building offers 15' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 2-year membrane system with an estimated remaining useful life of 5 years. In-place rents average $6 per square foot triple net with 3% annual escalations.

Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 7 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $61,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $208,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 10 years ago and are operating without deficiency.

Building Systems

Canyon Quarry Commerce Park was originally constructed in 2018 and consists of 399,000 SF in a building of 29 stories. The building offers 16' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The roof is a 37-year membrane system with an estimated remaining useful life of 9 years. In-place rents average $6 per square foot triple net with 3% annual escalations. Common area interiors have been refreshed within the last 4 years and are in average to good condition.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. In-place rents average $6 per square foot triple net with 3% annual escalations. The building offers 21' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Observed Conditions

Elevators were last modernized 3 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 7 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $130,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 42 months.

Construction Details

In-place rents average $6 per square foot triple net with 3% annual escalations. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The facility is located 3 miles from the interstate with access to a regional intermodal terminal.

Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 13-year membrane system with an estimated remaining useful life of 10 years. Common area interiors have been refreshed within the last 8 years and are in average to good condition. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 5' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Observed Conditions

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	3	16	13	Good	$18,000	$129,000
Paving	13	31	18	Good	$3,000	$240,000
HVAC	9	19	10	Fair	$36,000	$185,000
Plumbing	3	13	10	Poor	$40,000	$51,000
Electrical	6	34	28	Fair	$23,000	$10,000
Elevators	3	24	21	Good	$6,000	$52,000
Fire/Life Safety	16	31	15	Poor	$35,000	$97,000
Windows	2	37	35	Fair	$25,000	$81,000
Siding/Facade	2	25	23	Fair	$0	$10,000
Flooring	19	40	21	Poor	$9,000	$277,000
Appliances	13	31	18	Good	$37,000	$138,000
Landscaping	18	21	3	Good	$25,000	$222,000
Pool/Amenity	16	25	9	Fair	$32,000	$240,000
Signage	32	33	1	Fair	$5,000	$183,000
Fencing	21	22	1	Good	$32,000	$247,000
Roof (2)	15	23	8	Poor	$35,000	$127,000
Paving (2)	26	40	14	Good	$17,000	$26,000
HVAC (2)	25	29	4	Poor	$8,000	$233,000
Plumbing (2)	19	37	18	Poor	$1,000	$217,000
Electrical (2)	10	33	23	Poor	$5,000	$90,000
Elevators (2)	1	10	9	Poor	$20,000	$128,000
Fire/Life Safety (2)	1	10	9	Good	$31,000	$63,000
Windows (2)	10	11	1	Fair	$21,000	$143,000
Siding/Facade (2)	23	38	15	Fair	$31,000	$97,000
Flooring (2)	25	29	4	Fair	$21,000	$110,000
Appliances (2)	11	31	20	Poor	$9,000	$264,000
Landscaping (2)	5	29	24	Poor	$20,000	$60,000
Pool/Amenity (2)	19	22	3	Poor	$2,000	$100,000
Signage (2)	2	15	13	Good	$28,000	$246,000
Fencing (2)	4	20	16	Fair	$7,000	$151,000

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Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Window sealant	Roof	Failed	Re-caulk	Year 2-5	$1,000
Water heater	Bldg B	Corrosion	Replace	Year 1	$29,500
Sprinkler heads	Bldg A	Painted heads	Replace	Year 2-5	$64,500
Asphalt paving	Common	Alligator cracking	Mill and overlay	Immediate	$7,000
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Year 2-5	$22,500
Water heater	Mechanical	Corrosion	Replace	Year 1	$40,000
Sidewalk	Common	Trip hazards	Grind / replace	Reserve	$59,500
Fire extinguishers	Mechanical	Expired tags	Service	Reserve	$19,500
Handrail	Roof	Loose	Secure	Reserve	$48,000
Roof membrane	Site	Ponding / seams	Re-seal and repair	Year 2-5	$5,500
Window sealant	Mechanical	Failed	Re-caulk	Immediate	$34,000
Handrail	Site	Loose	Secure	Reserve	$24,000
Fire extinguishers	Site	Expired tags	Service	Year 2-5	$60,000
Stair treads	Mechanical	Worn / loose	Replace treads	Immediate	$65,500
Roof membrane	Site	Ponding / seams	Re-seal and repair	Immediate	$69,000
Water heater	Bldg B	Corrosion	Replace	Year 1	$70,500
Handrail	Mechanical	Loose	Secure	Year 2-5	$10,500
Sidewalk	Bldg A	Trip hazards	Grind / replace	Immediate	$6,000
Sidewalk	Roof	Trip hazards	Grind / replace	Year 2-5	$85,000
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Year 2-5	$60,500
Sidewalk	Site	Trip hazards	Grind / replace	Immediate	$29,500
Asphalt paving	Site	Alligator cracking	Mill and overlay	Immediate	$80,000
Fire extinguishers	Site	Expired tags	Service	Year 1	$13,000
Sidewalk	Site	Trip hazards	Grind / replace	Reserve	$19,500
Water heater	Site	Corrosion	Replace	Immediate	$2,500
Sidewalk	Bldg B	Trip hazards	Grind / replace	Reserve	$73,500
Dumpster enclosure	Common	Damaged gate	Repair	Immediate	$56,000
Roof membrane	Site	Ponding / seams	Re-seal and repair	Year 2-5	$71,500
Window sealant	Bldg A	Failed	Re-caulk	Year 1	$19,500
Asphalt paving	Site	Alligator cracking	Mill and overlay	Reserve	$16,000
Window sealant	Bldg A	Failed	Re-caulk	Immediate	$57,500
Asphalt paving	Mechanical	Alligator cracking	Mill and overlay	Immediate	$50,500
Sprinkler heads	Bldg B	Painted heads	Replace	Reserve	$23,000
Dumpster enclosure	Site	Damaged gate	Repair	Year 1	$70,500
Stair treads	Site	Worn / loose	Replace treads	Year 1	$72,000
Dumpster enclosure	Common	Damaged gate	Repair	Year 1	$64,500
Stair treads	Roof	Worn / loose	Replace treads	Year 1	$4,000
Water heater	Mechanical	Corrosion	Replace	Year 1	$55,500
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Year 1	$76,000
Roof membrane	Common	Ponding / seams	Re-seal and repair	Year 2-5	$31,500
Sprinkler heads	Common	Painted heads	Replace	Year 1	$51,000
Handrail	Bldg B	Loose	Secure	Year 1	$87,000

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Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $329,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 7 months.

Elevators were last modernized 12 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $397,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 38 months.

Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $109,000. Elevators were last modernized 7 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 43 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 38 months. Elevators were last modernized 5 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 23 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $94,000.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 39 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $414,000. Elevators were last modernized 4 years ago and are operating without deficiency.

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Improvements Description

The facility is located 9 miles from the interstate with access to a regional intermodal terminal. The roof is a 14-year membrane system with an estimated remaining useful life of 12 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. In-place rents average $6 per square foot triple net with 3% annual escalations. Mechanical systems include rooftop package units and central plant equipment of varying age.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. The building offers 2' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $105,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 9 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 12 years ago and are operating without deficiency.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $323,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Construction Details

In-place rents average $6 per square foot triple net with 3% annual escalations. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. The building offers 48' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The roof is a 10-year membrane system with an estimated remaining useful life of 10 years. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Canyon Quarry Commerce Park was originally constructed in 2018 and consists of 399,000 SF in a building of 2 stories.

Observed Conditions

Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 16 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $276,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Elevators were last modernized 6 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 28 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $286,000.

Improvements Description

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $6 per square foot triple net with 3% annual escalations. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The facility is located 6 miles from the interstate with access to a regional intermodal terminal.

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	7	23	16	Fair	$8,000	$277,000
Paving	28	29	1	Fair	$6,000	$270,000
HVAC	2	12	10	Fair	$11,000	$137,000
Plumbing	6	31	25	Poor	$31,000	$26,000
Electrical	16	26	10	Fair	$36,000	$161,000
Elevators	16	16	0	Good	$38,000	$144,000
Fire/Life Safety	2	13	11	Fair	$14,000	$158,000
Windows	26	37	11	Poor	$37,000	$101,000
Siding/Facade	9	12	3	Fair	$20,000	$21,000
Flooring	2	12	10	Fair	$20,000	$136,000
Appliances	3	16	13	Fair	$32,000	$178,000
Landscaping	36	37	1	Poor	$35,000	$77,000
Pool/Amenity	28	39	11	Fair	$36,000	$55,000
Signage	10	17	7	Fair	$20,000	$144,000
Fencing	5	25	20	Good	$5,000	$255,000
Roof (2)	17	17	0	Poor	$1,000	$195,000
Paving (2)	2	18	16	Poor	$25,000	$135,000
HVAC (2)	25	31	6	Good	$40,000	$93,000
Plumbing (2)	5	20	15	Fair	$0	$118,000
Electrical (2)	3	10	7	Fair	$3,000	$237,000
Elevators (2)	4	19	15	Good	$3,000	$27,000
Fire/Life Safety (2)	20	33	13	Poor	$37,000	$240,000
Windows (2)	19	39	20	Fair	$36,000	$29,000
Siding/Facade (2)	11	13	2	Good	$27,000	$181,000
Flooring (2)	4	25	21	Fair	$9,000	$35,000
Appliances (2)	9	28	19	Poor	$10,000	$247,000
Landscaping (2)	1	33	32	Fair	$16,000	$258,000
Pool/Amenity (2)	1	34	33	Poor	$4,000	$95,000
Signage (2)	18	25	7	Fair	$18,000	$214,000
Fencing (2)	15	21	6	Poor	$31,000	$129,000

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Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Sprinkler heads	Site	Painted heads	Replace	Immediate	$33,000
Handrail	Site	Loose	Secure	Reserve	$69,000
Window sealant	Common	Failed	Re-caulk	Year 1	$22,000
Stair treads	Mechanical	Worn / loose	Replace treads	Reserve	$33,500
Handrail	Bldg B	Loose	Secure	Reserve	$83,500
Sidewalk	Bldg B	Trip hazards	Grind / replace	Reserve	$35,000
Dumpster enclosure	Bldg B	Damaged gate	Repair	Year 2-5	$82,000
Sprinkler heads	Site	Painted heads	Replace	Reserve	$75,000
Dumpster enclosure	Bldg B	Damaged gate	Repair	Year 1	$52,500
Roof membrane	Bldg B	Ponding / seams	Re-seal and repair	Immediate	$54,000
Handrail	Mechanical	Loose	Secure	Immediate	$84,000
HVAC unit	Common	Beyond useful life	Replace RTU	Immediate	$86,000
Dumpster enclosure	Bldg B	Damaged gate	Repair	Year 2-5	$11,500
Water heater	Roof	Corrosion	Replace	Year 2-5	$71,500
Asphalt paving	Roof	Alligator cracking	Mill and overlay	Reserve	$78,500
Fire extinguishers	Roof	Expired tags	Service	Immediate	$1,000
Sidewalk	Mechanical	Trip hazards	Grind / replace	Year 2-5	$72,000
Asphalt paving	Site	Alligator cracking	Mill and overlay	Year 2-5	$73,000
Roof membrane	Roof	Ponding / seams	Re-seal and repair	Year 2-5	$10,500
Asphalt paving	Roof	Alligator cracking	Mill and overlay	Year 1	$48,000
Window sealant	Mechanical	Failed	Re-caulk	Reserve	$42,500
Sidewalk	Mechanical	Trip hazards	Grind / replace	Reserve	$29,500
Window sealant	Bldg A	Failed	Re-caulk	Reserve	$53,500
Dumpster enclosure	Roof	Damaged gate	Repair	Reserve	$86,500
Window sealant	Site	Failed	Re-caulk	Reserve	$74,500
Fire extinguishers	Site	Expired tags	Service	Reserve	$38,500
Handrail	Roof	Loose	Secure	Reserve	$41,000
Roof membrane	Common	Ponding / seams	Re-seal and repair	Reserve	$24,500
Fire extinguishers	Bldg A	Expired tags	Service	Immediate	$39,500
Fire extinguishers	Bldg B	Expired tags	Service	Year 2-5	$18,000
Window sealant	Bldg A	Failed	Re-caulk	Reserve	$43,500
Stair treads	Bldg A	Worn / loose	Replace treads	Year 1	$27,500
Handrail	Common	Loose	Secure	Immediate	$73,500
Handrail	Bldg A	Loose	Secure	Year 1	$85,500
Roof membrane	Site	Ponding / seams	Re-seal and repair	Year 2-5	$47,000
Sidewalk	Roof	Trip hazards	Grind / replace	Immediate	$35,500
Water heater	Common	Corrosion	Replace	Immediate	$48,000
Sidewalk	Bldg A	Trip hazards	Grind / replace	Year 2-5	$71,500
Handrail	Common	Loose	Secure	Reserve	$63,500
Dumpster enclosure	Common	Damaged gate	Repair	Reserve	$74,500
Sprinkler heads	Common	Painted heads	Replace	Year 1	$31,500
HVAC unit	Roof	Beyond useful life	Replace RTU	Year 1	$71,000

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Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 9 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $250,000.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $252,000.

Deferred Maintenance

Elevators were last modernized 12 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $68,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 20 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 4 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 27 months.

Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $350,000.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $121,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 41 months.

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Building Systems

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Canyon Quarry Commerce Park was originally constructed in 2018 and consists of 399,000 SF in a building of 14 stories. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The facility is located 5 miles from the interstate with access to a regional intermodal terminal. The roof is a 29-year membrane system with an estimated remaining useful life of 11 years. Mechanical systems include rooftop package units and central plant equipment of varying age. The building offers 11' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Canyon Quarry Commerce Park was originally constructed in 2018 and consists of 399,000 SF in a building of 10 stories.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $135,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 4 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $97,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 2 months. Elevators were last modernized 4 years ago and are operating without deficiency.

Construction Details

The roof is a 32-year membrane system with an estimated remaining useful life of 4 years. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Mechanical systems include rooftop package units and central plant equipment of varying age. The facility is located 4 miles from the interstate with access to a regional intermodal terminal.

The roof is a 16-year membrane system with an estimated remaining useful life of 12 years. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $6 per square foot triple net with 3% annual escalations. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The building offers 30' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Elevators were last modernized 10 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $162,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 47 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $41,000. Elevators were last modernized 5 years ago and are operating without deficiency.

Improvements Description

Common area interiors have been refreshed within the last 6 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 2-year membrane system with an estimated remaining useful life of 12 years. Canyon Quarry Commerce Park was originally constructed in 2018 and consists of 399,000 SF in a building of 42 stories. In-place rents average $6 per square foot triple net with 3% annual escalations.

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	22	30	8	Fair	$8,000	$96,000
Paving	1	27	26	Fair	$22,000	$97,000
HVAC	3	11	8	Poor	$27,000	$146,000
Plumbing	6	10	4	Fair	$32,000	$54,000
Electrical	3	29	26	Fair	$23,000	$154,000
Elevators	14	34	20	Good	$37,000	$178,000
Fire/Life Safety	11	15	4	Good	$1,000	$258,000
Windows	7	10	3	Fair	$34,000	$155,000
Siding/Facade	27	32	5	Poor	$6,000	$17,000
Flooring	25	36	11	Good	$27,000	$219,000
Appliances	4	27	23	Fair	$13,000	$210,000
Landscaping	7	28	21	Fair	$36,000	$220,000
Pool/Amenity	17	17	0	Fair	$8,000	$68,000
Signage	11	26	15	Good	$0	$105,000
Fencing	14	35	21	Poor	$37,000	$52,000
Roof (2)	15	27	12	Fair	$24,000	$214,000
Paving (2)	26	38	12	Fair	$17,000	$247,000
HVAC (2)	9	10	1	Fair	$28,000	$250,000
Plumbing (2)	10	12	2	Fair	$30,000	$73,000
Electrical (2)	16	29	13	Fair	$34,000	$105,000
Elevators (2)	4	11	7	Fair	$14,000	$120,000
Fire/Life Safety (2)	19	28	9	Fair	$6,000	$188,000
Windows (2)	9	20	11	Fair	$21,000	$191,000
Siding/Facade (2)	6	30	24	Fair	$35,000	$239,000
Flooring (2)	2	24	22	Good	$16,000	$116,000
Appliances (2)	7	17	10	Fair	$28,000	$82,000
Landscaping (2)	10	24	14	Good	$11,000	$62,000
Pool/Amenity (2)	11	11	0	Fair	$38,000	$246,000
Signage (2)	2	39	37	Good	$35,000	$161,000
Fencing (2)	30	40	10	Fair	$24,000	$222,000

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Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Stair treads	Mechanical	Worn / loose	Replace treads	Year 2-5	$55,500
Fire extinguishers	Site	Expired tags	Service	Reserve	$31,000
Water heater	Roof	Corrosion	Replace	Year 2-5	$21,000
Fire extinguishers	Roof	Expired tags	Service	Reserve	$1,000
Fire extinguishers	Mechanical	Expired tags	Service	Immediate	$73,500
Roof membrane	Roof	Ponding / seams	Re-seal and repair	Immediate	$10,500
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Year 2-5	$16,500
Asphalt paving	Common	Alligator cracking	Mill and overlay	Year 1	$25,000
Roof membrane	Bldg B	Ponding / seams	Re-seal and repair	Year 1	$24,500
Sprinkler heads	Bldg B	Painted heads	Replace	Reserve	$44,500
Dumpster enclosure	Bldg B	Damaged gate	Repair	Year 2-5	$56,500
Fire extinguishers	Common	Expired tags	Service	Reserve	$27,500
Roof membrane	Site	Ponding / seams	Re-seal and repair	Year 1	$73,500
HVAC unit	Site	Beyond useful life	Replace RTU	Immediate	$46,500
Handrail	Bldg B	Loose	Secure	Year 1	$75,500
Window sealant	Bldg B	Failed	Re-caulk	Immediate	$9,000
Handrail	Roof	Loose	Secure	Reserve	$48,000
Water heater	Roof	Corrosion	Replace	Immediate	$85,000
Dumpster enclosure	Common	Damaged gate	Repair	Year 2-5	$89,000
Stair treads	Mechanical	Worn / loose	Replace treads	Year 2-5	$33,000
Fire extinguishers	Roof	Expired tags	Service	Year 1	$48,000
Dumpster enclosure	Bldg A	Damaged gate	Repair	Immediate	$17,500
Window sealant	Common	Failed	Re-caulk	Year 2-5	$20,500
Water heater	Bldg B	Corrosion	Replace	Year 1	$3,000
Asphalt paving	Common	Alligator cracking	Mill and overlay	Year 2-5	$83,500
Fire extinguishers	Bldg A	Expired tags	Service	Year 1	$38,500
Window sealant	Site	Failed	Re-caulk	Immediate	$87,500
HVAC unit	Common	Beyond useful life	Replace RTU	Immediate	$39,000
HVAC unit	Roof	Beyond useful life	Replace RTU	Year 1	$9,000
Window sealant	Site	Failed	Re-caulk	Year 1	$67,000
HVAC unit	Roof	Beyond useful life	Replace RTU	Immediate	$11,500
Dumpster enclosure	Bldg B	Damaged gate	Repair	Year 2-5	$52,500
Asphalt paving	Roof	Alligator cracking	Mill and overlay	Year 1	$22,500
Water heater	Roof	Corrosion	Replace	Immediate	$50,000
Dumpster enclosure	Bldg A	Damaged gate	Repair	Immediate	$63,500
Sidewalk	Mechanical	Trip hazards	Grind / replace	Immediate	$5,000
Dumpster enclosure	Bldg B	Damaged gate	Repair	Year 2-5	$80,000
Sidewalk	Bldg A	Trip hazards	Grind / replace	Year 2-5	$53,500
Stair treads	Site	Worn / loose	Replace treads	Immediate	$22,000
Sidewalk	Mechanical	Trip hazards	Grind / replace	Reserve	$41,500

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Observed Conditions

Elevators were last modernized 10 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $35,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Elevators were last modernized 3 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $71,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Deferred Maintenance

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $370,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Observed Conditions

Elevators were last modernized 7 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 5 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 11 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 14 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

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Improvements Description

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 47-year membrane system with an estimated remaining useful life of 12 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The building offers 30' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. Canyon Quarry Commerce Park was originally constructed in 2018 and consists of 399,000 SF in a building of 48 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 7 years and are in average to good condition.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $232,000. Elevators were last modernized 11 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $480,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 8 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Building Systems

Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The building offers 26' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $6 per square foot triple net with 3% annual escalations. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. In-place rents average $6 per square foot triple net with 3% annual escalations. The roof is a 22-year membrane system with an estimated remaining useful life of 6 years. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 39' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Recommendations

Elevators were last modernized 11 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $202,000.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months. Elevators were last modernized 12 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Building Systems

In-place rents average $6 per square foot triple net with 3% annual escalations. Canyon Quarry Commerce Park was originally constructed in 2018 and consists of 399,000 SF in a building of 29 stories. The facility is located 5 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Common area interiors have been refreshed within the last 3 years and are in average to good condition. The roof is a 29-year membrane system with an estimated remaining useful life of 9 years.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Canyon Quarry Commerce Park and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on January 1, 2020.

_____

Sofia Alvarez, Senior Associate

Lindqvist Engineering Group

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